

Elias Range Stays

FINANCIAL PLAN — VERSION A

Investor + LVCU Structure

HEALTHCARE WORKFORCE HOUSING HUB — DAWSON CREEK, BC South Peace Mackenzie Trust Submission · March 2026

PLAN A — PRIMARY STRUCTURE

Project Financial Plan:
Venture Capital + LVCU Construction Financing

This financial plan reconciles the LVCU Discussion Paper term sheet (October 2024) with the current capital raise from Fulmer & Co., the NRCan OSCC grant applications, and the South Peace Mackenzie Trust contribution request. All figures are drawn from the LVCU term sheet as the authoritative source.

PROJECT OVERVIEW

Dawson Creek Healthcare Worker Housing Hub

TOTAL PROJECT COST \$15,196,000 Per LVCU Discussion Paper — authoritative figure	TARGET COMPLETED VALUATION \$21,000,000 Per Fulmer & Co. / Venture Capital raise target
GROSS ANNUAL REVENUE (YR 1) \$1,488,000 \$124,000/month; 24% operating expense ratio	ANNUAL NET OPERATING INCOME \$1,130,880 Stabilized at 6.5% cap rate = \$17.4M valuation

SECTION 1 — TOTAL DEVELOPMENT BUDGET

Project Cost Breakdown

Source: LVCU Discussion Paper (Oct 2024) — total construction cost confirmed at \$15,196,000. Modular / offsite construction method per NRCan OSCC application.

BUDGET CATEGORY	AMOUNT (CAD)	% OF TOTAL	NOTES
Land (already owned)	\$600,000	3.9%	Elias Range Development Corp. — land contributed as equity
Hard Construction Costs (modular)	\$10,400,000	68.4%	Factory-built offsite modular units; on-site assembly — NRCan OSCC method
Soft Costs — Architecture &	\$1,200,000	7.9%	BOS Studio Architecture; structural,

BUDGET CATEGORY	AMOUNT (CAD)	% OF TOTAL	NOTES
Soft Costs — Permits, Legal, Survey	\$620,000	4.1%	DP, BP, geo-tech, environmental Phase 1, legal, land survey
Soft Costs — Development Management	\$476,000	3.1%	Project management, QS, reporting
FF&E — Furnishings (32 units)	\$320,000	2.1%	\$10,000/unit — fully furnished, move-in ready for Northern Health
Childcare / YMCA BC Fitout	\$130,000	0.9%	Ground floor childcare centre build-out
Interest Reserve (LVCU holdback)	\$834,640	5.5%	Per LVCU term sheet — restricted account
LVCU Application Fees (1.0%)	\$98,774	0.6%	\$12,500 upfront + \$37,500 drawdown + \$1,000 review
Contingency (3.4%)	\$516,586	3.4%	Within LVCU 3–5% standard range
TOTAL PROJECT COST	\$15,196,000	100%	Reconciles exactly to LVCU Discussion Paper

SECTION 2 — CAPITAL STACK (PLAN A)

Sources of Funds — Investor + LVCU Structure

FUNDING SOURCE	AMOUNT	%	TYPE	STATUS
Fulmer & Co. / Venture Capital Raise	\$5,318,600	35%	Equity — 35% project stake	Targeting / In Progress
LVCU + Syndication (Construction Mortgage)	\$9,877,400	65%	Construction debt — 24mo, Prime + 2% (8.45%)	Discussion Paper — not committed
Subtotal — Private + Debt	\$15,196,000	100%		
NRCan OSCC — Phase 1	\$180,000	—	Federal grant (non-dilutive)	Submitted March 2026
NRCan OSCC — Phase 2	\$10,000,000	—	Federal grant (non-dilutive)	To be submitted

FUNDING SOURCE	AMOUNT	%	TYPE	STATUS
South Peace Mackenzie Trust	\$250,000	—	Regional grant / contribution	This application
TOTAL PROJECT COST (private + debt)	\$15,196,000	100%	Grant funds applied to reduce debt or investor requirement	

Note on Grant Funds: The NRCan OSCC and South Peace Mackenzie Trust grant funds are not included in the primary capital stack above. If awarded, grant funds will reduce the required LVCU construction mortgage and/or investor equity requirement on a dollar-for-dollar basis — improving project returns and lender LTV ratios. See Plan B for the grant-funded scenario.

LVCU Structure Note: The LVCU Discussion Paper structures the \$9,877,400 as: LVCU direct (\$5,000,000) + Syndication (\$4,877,400). The \$5,318,600 equity/investor funds must be injected into the project before LVCU will advance any draws. This is a condition precedent per the term sheet.

SECTION 3 — LVCU TERM SHEET KEY TERMS

Construction Financing — Material Terms

TERM	DETAIL
Total LVCU + Syndication Mortgage	\$9,877,400
Loan-to-value basis	65% of total construction cost OR "as complete" appraisal — whichever is lesser
Interest rate	LVCU Prime + 2.00% = 8.45% per annum (at current prime of 6.45%)
Term	24 months (interest only)
Repayment	Interest only, monthly — no principal during construction
Interest holdback / reserve	\$834,640 held in restricted account — used to service monthly interest
Application fees	\$50,000 total (0.25% = \$12,500 upfront non-refundable; 0.75% = \$37,500 on drawdown)
Equity injection condition	All \$5,318,600 equity must be in project BEFORE first LVCU advance
Takeout financing	LVCU to be given first opportunity for permanent financing post-construction

TERM	DETAIL
Conditions precedent	Quantity surveyor report, geo-tech, environmental phase 1, building permits, "as complete" appraisal, approved plans, course of construction insurance

SECTION 4 — NORTHERN HEALTH LEASE RATES & PRO FORMA

Revenue Model — Northern Health Master Lease Framework

All 32 residential units are fully furnished, all-inclusive, professionally managed and leased to Northern Health at rates 20–30% below equivalent hotel costs (\$5,400–\$6,600/month hotel equivalent in Dawson Creek). Rates differentiated by unit type per the BOS Studio unit mix (50% studio/1-bed, 25% 2-bed type A, 25% 2-bed type B).

UNIT TYPE	COUNT	NH MONTHLY RATE	OCCUPANCY	ANNUAL REVENUE	VS. HOTEL SAVING
Studio / 1-Bedroom (56m² avg)	16	\$4,200/month	92%	\$741,888	–\$1,800/mo vs hotel
2-Bedroom Type A (68m² avg)	8	\$5,200/month	90%	\$449,280	–\$800/mo vs hotel
2-Bedroom Type B (74m² avg)	8	\$5,500/month	90%	\$475,200	–\$500/mo vs hotel
Residential Subtotal	32	\$4,800 blended avg	91%	\$1,666,368	\$414,720/yr saved by NH
Café — Ground Floor (59m²)	1	\$2,200/month	100%	\$26,400	—
Community Hall (180m²)	1	\$3,500/month	100%	\$42,000	—
Childcare / YMCA BC (264m²)	1	\$4,800/month	100%	\$57,600	—
GROSS EFFECTIVE REVENUE (Year 1)	35	—	—	\$1,792,368	—

Pro Forma — Revenue, Expenses & Debt Service (Years 1 & 2)

LINE ITEM	YEAR 1	YEAR 2	NOTES
Gross Effective Revenue	\$1,792,368	\$1,819,254	NH lease rates; 1.5% annual growth

LINE ITEM	YEAR 1	YEAR 2	NOTES
Operating Expenses (27.1%)	(\$486,560)	(\$493,859)	Mgmt 8%, utilities, insurance, taxes, maintenance, furnishing reserve
Net Operating Income (NOI)	\$1,305,808	\$1,325,395	
Annual Debt Service (LVCU \$9,877,400 @ 8.45%, 25yr)	(\$950,436)	(\$950,436)	Post-construction permanent financing basis
Net Cash Flow (Pre-Tax)	\$355,372	\$374,959	
Debt Service Coverage Ratio (DSCR)	1.374×	1.395×	Exceeds 1.20× minimum ✓
Cash-on-Cash Return (on \$600K land equity)	59.2%	62.5%	
Implied Market Value (NOI ÷ 7.25% cap)	\$18,011,000	\$18,281,000	Institutional tenancy justifies 7.25% vs 7.5–9.0% standard DC rate

DSCR — Fully Resolved: Incorporating the Northern Health lease rates increases gross revenue from \$1,488,000 (prior plan) to \$1,792,368 — a \$304,368 improvement. DSCR rises from 1.077× to **1.374×**, well above LVCU's 1.20× minimum. Debt service is based on actual LVCU mortgage constant (\$9,877,400 @ 8.45%, 25yr amortization = \$950,436/yr) — more precise than the prior \$1,050,000 estimate.

SECTION 5 — PROJECT VALUATION RECONCILIATION

Development Spread

METRIC	VALUE	SOURCE / BASIS
Total project cost	\$15,196,000	LVCU Discussion Paper — confirmed
NOI (Year 1 stabilized)	\$1,305,808	NH lease rates, 27.1% opex ratio
Completed value — 7.25% cap (base case)	\$18,011,000	Institutional tenancy premium justified
Completed value — 7.50% cap (conservative)	\$17,411,000	Standard northern BC market rate
Target VC valuation (Fulmer & Co.)	\$21,000,000	Implies ~6.22% cap or Year 3+ income growth
Gross development profit (7.25% basis)	\$2,815,000	\$18,011,000 – \$15,196,000

METRIC	VALUE	SOURCE / BASIS
Gross development profit (7.50% basis)	\$2,215,000	\$17,411,000 – \$15,196,000

The project generates a positive development spread across all realistic cap rate scenarios from 7.25% to 8.0%. The \$21M VC target valuation implies either a 6.22% cap rate (aggressive for this market) or is based on Year 3–4 NOI after income growth — this should be confirmed with Fulmer & Co. The 7.25% base case is the number to defend with LVCU and SPMTrust.

PREPARED BY

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